BEFORE THE STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	Case 19-G-0309
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DIRECT TESTIMONY

OF

JOHN HUTCHINGS

ON BEHALF OF THE NEW YORK STATE LABORERS ORGANIZING FUND

August 30, 2019

Q: Please state your name, affiliation, and address.

A: My name is John Hutchings. I am the Director of the New York State Laborers Organizing Fund ("NYSLOF"). My business address is 42-40 Bell Boulevard, Bayside, NY 11361.

Q: What is the New York State Laborers Organizing Fund?

A: The New York State Laborers Organizing Fund represents over 40,000 members around the state. We are affiliated with the Laborers International Union of North America ("LIUNA"), one of the largest labor unions in the United States representing a half million workers across the United States and Canada. In New York, our members primarily work in the construction industry, and are organized into more than 24 local unions and five district councils. Our members build and maintain vital energy infrastructure across a diverse portfolio, including natural gas transmission facilities, renewable generation assets, and nuclear facilities. Thousands of our members work for contractors employed by utilities on accelerated pipe replacement projects which are critical to the safety and reliability of New York's energy assets. Hundreds of our members work for construction contractors on pipe construction activities for The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies" or "National Grid"). In this testimony, I refer to NYSLOF and LIUNA interchangeably.

Q: Please summarize your background and professional experience.

A: I have been involved in the construction industry for over 30 years. I began my career in the construction industry as a Laborer in Binghamton, NY in 1985. I was a Union Trustee for

Laborers' Local 7 for over 10 years. I have served as the Director of the New York State Laborers' Organizing Fund for over 10 years

Q: What are your duties and responsibilities in your current position?

As Director, I supervise and manage a statewide staff of 21 organizers, researchers, and policy analysts as we work to increase union market share in the construction industry and service our local unions. I am responsible for conceptualizing and executing statewide campaigns and supporting local organizing efforts.

Q: What is the purpose of your testimony?

A: The purpose of my testimony is to describe the work LIUNA's members perform on National Grid's system, and recommend conditions that NYSLOF asks that the Commission consider imposing on any approval of the proposed rate increase. The conditions are intended to mitigate undue risks in contracting practices, ensure National Grid contractors only employ highly qualified and reputable labor resources, and to enhance transparency of National Grid's use of contractors, as well as workplace safety and reliability.

In addition, my testimony promotes the importance of the expansion of natural gas infrastructure discussed by the Companies in this case.

Q: Please explain why the subjects you plan to address are relevant to this proceeding.

A: Outside contractor employees play a significant role in National Grid's provision of safe and reliable gas services to the public, including by performing essential construction work on the Companies' gas distribution lines. My understanding is that outside contractor expense is included in National Grid rates.

The expansion of natural gas infrastructure, such as the construction of the Transcontinental Gas Pipe Line, LLC's Northeast Supply Enhancement ("NESE") project, is vitally important for affordable gas rates for consumers, for supporting quality construction pipeline jobs for hundreds of workers, and facilitating economic growth in National Grid's service territory. Though the approval of NESE is outside the scope of the State of New York Public Service Commission ("Commission"), it is our view that the Commission can be a leader in advocating for expanded energy infrastructure and approve the Companies capital expenditures should NESE proceed.

Q: Please describe the extent of the Companies' use of outside, contractor employees in the conduct of its operations?

A: National Grid's use of contractor employees is vital to its conduct of utility operations, including modernizing its infrastructure, installing gas services, and providing for safe and reliable services. In 2019, KEDNY projects a maximum of 40 main crews and 40 service crews. KEDLI estimates a maximum of 37 main crews and 53 service crews. In 2020, maximum crew levels will increase 29 percent over 2019 levels. See Exhibit No. NYSLOF-1 to this testimony. Assuming there are five workers on each construction crew, there are approximately 850 contractor workers employed on National Grid's system during peak construction.

Q: Do NYSLOF members work for contractors who perform work on the National Grid system?

A: Yes. NYSLOF does not represent in-house workers, only the employees of certain construction contractors. National Grid uses a number of contractors who are signatory to collective bargaining agreements with LIUNA, including Hallen Construction Company, Inc., Bond Brothers Inc., and Henkels & McCoy.

Q: Is National Grid proposing to recover expenditures paid to contractors in this rate case?

A: Yes. Construction contractors perform the bulk of pipe replacement activities, including projects related to mandated programs such as proactive main replacements of Leak Prone Pipe ("LPP"), large diameter main rehabilitation, and reactive and proactive service replacements. Accordingly, contractor costs comprise the bulk of the Companies' LPP costs. For KEDNY, 74 percent of LPP unit costs are contractor expenditures. For KEDLI, 65 percent of LPP unit costs are contractor-related. See Exhibit No. NYSLOF-2.

Furthermore, though Vendor Costs include all vendors and not just construction contractors, Vendor Costs at the Companies comprise the majority of total costs. At KEDNY, for example, payments to one of its construction contractors was greater than KEDNY's own labor costs and comprised 37% of total costs.

Q: What is the relevance of these data?

A: These data show two things. First, that National Grid is reliant on outside contractors to perform vital safety and reliability services on its system. Second, that expenditures paid by National Grid to outside contractors comprise a significant portion of costs the Companies are proposing to recover in rates.

Q: How does National Grid procure construction services from outside contractors for Significant Capital Program projects?

A: According to National Grid's Sourcing and Qualifying Contractors Process Flowchart, the process consists of the following steps: 1) Identify/Source Potential Contractors and Add to Bid List; 2) Non-Standard Bid Event, 3) Framework/Non-Framework Contract, 4) Understand Available Resources and Identify Future Resource Needs; and 5) Make Ready Approved

Contractors. See Exhibit No. NYSLOF-3. National Grid's Contractor Resource Team assesses contractors based on experience, approach, qualification of staff, resource availability, equipment, and safety culture. See Exhibit No. NYSLOF-4. Bids from Contractors are evaluated on four types of criteria: Technical Capability, Resource Capability, Experience, and Commercial/Price. Each category contain specific elements which are weighted to produce a final bid score. For example, under Resource Capability, the number of available crews a contractor comprises 50% of the total score for that category. See Exhibit No. NYSLOF-5.

Q: What are the safety metrics used by National Grid to evaluate contractors?

A: National Grid uses ISNetworld to track Contractor Evaluation Criteria. The Criteria include insurance requirements; acknowledgement of the Companies' Contractor Safety Form; workplace safety statics that include OSHA citations, fatalities, Total Recordable Incident Rate ("TRIR"), Days Away, Restricted, or Transferred ("DART") Rate; a health and safety questionnaire used during the New Vendor Onboarding Application Form; and a review of the Contractor's written health and safety program. See Exhibit No. NYSLOF-6. National Grid also evaluates contractors on various performance metrics related to safety, performance, and compliance. See Exhibit No. NYSLOF-7. National Grid's N-1402 National Grid Contractor Safety Requirements details contractor safety requirements that are unique to operations and various functional groups. Contractors must be in compliance with these policies as a contractual condition. See Exhibit No. NYSLOF-8.

Q: What safety risks exist for Laborers performing work related to natural gas transmission and distribution pipeline?

A: Working on natural gas facilities poses many significant risks, both to individual worker safety and overall system reliability. Working with natural gas is extremely dangerous and, when installing or maintaining gas lines, it is critical to minimize the risk of line ruptures or punctures, which can cause accidental ignition or explosion. Even absent ignition, the high pressure in the pipes could cause life-threatening damage if there were a rupture. Laborers perform the work of digging out a line when it is necessary to access the line for repair, maintenance, or replacement. While operators using mechanized equipment dig up the area of within two feet of an existing transmission lines, Laborers dig the rest by hand. Given the associated risks, this job requires painstaking accuracy. Along with rupture, ignition risks, there are concerns when trenching about the potential for "cave ins." This can happen when Laborers or Welders are in the ditch or if Laborers or Welders are walking along the ditch above ground along the edge of the ditch. To minimize this risk, Laborers employ safeguards, such as using creating shielding or shoring around a trench. There are also risks associated with working in extreme climates, as Laborers are frequently required to do. Laborers must constantly be aware of their surroundings, and these concerns may be heightened when working in poor weather conditions. Working with and directing heavy equipment and machinery presents other safety risks. Laborers are responsible for acting as the Operator's eyes because the Operator can't see everything going on around him. For instance, the Laborer must be alert to unexpected things like a child or dog coming near the heavy machinery, and be prepared to signal the Operator to stop immediately. Of course, a Laborer must also be alert to the possibility that the Operator could hit a line that had not been located correctly. Acting as the Operator's eyes requires having good communication skills and a well-established relationship of trust with the Operator. The reason that the latter is important is that each party needs to be able to read the other's signals. Accidents are more likely to occur if

hand signals are used incorrectly or there is bad communication with the operator, or a Laborer is not anticipating properly what the Operator is going to do. In addition, because most of this work happens in the street, there is always the constant danger of workers being injured by the surrounding traffic.

Q: What role does proper training play in ensuring workplace safety and the successful completion of assigned tasks?

A: It plays a very significant role. The need for proper training should be obvious—the work these employees are performing is dangerous, and, where done improperly, life-threatening for both workers and customers. In recent years, there have been a number of high-profile incidents that have highlighted the problems that can occur at gas distribution utilities. Pipeline incidents caused by excavation damage can result in fatalities and injuries, as well as significant costs, property damages, environmental damages, and unintentional fire or explosions.

LIUNA is dedicated to making sure its workforce is the most qualified and safest in the industry. LIUNA annually invests more than $100 million in training workers in construction and environmental skills curriculum. Over the past half-century, LIUNA has developed its own training programs, which are currently used by contractor employers across the United States. Through its training program, LIUNA has worked towards offering a standardized course of high-quality training.

In response to new Operator Qualification Regulations, approved under DOT 49 CFR Parts 192 and 195, LIUNA Training developed Pipeline Safety Worker and Instructor training leading to Pipeline Operator Qualification (OQ).

Thousands of our members are OQ trained at our training facilities. There are at least five LIUNA training centers that train for Northeast Gas evaluations.

It is important to note that LIUNA views Operator Qualification as a baseline minimal standard. Our training goes beyond OQ. For example, LIUNA offers a 64-hour Pipeline Technology Class. Major topics include: employee obligations, chain of command on a pipeline, general hazards and precautions, trench and excavation safety, soil testing and identification, potholing and underground utility lines, the duties of the various crews (fence, ditch, clearing, etc.), cleaning and inspecting pipes, and fabrication yards. Several of the topics require students to perform tasks or demonstrate skills being taught. Special emphasis is placed on following proper techniques, developing safe work habits, and recognizing unsafe work conditions.

LIUNA offers a 12-hour Trench and Excavation Safety Class. Major topics are designed for workers who work in trenches and excavations. Students learn about OSHA's standards for building protective systems in trenches and excavations, and other regulations to ensure safety on a job site. Students also learn how to install different kinds of protective systems, with special emphasis placed on following proper techniques and developing safe work habits.

Q: How does National Grid ensure the qualification of its contractor personnel?

A: The Northeast Gas Association ("NGA") maintains contractor operator qualifications ("OQ") in its OQ database system. NGA tracks contractor qualification, and the Companies verify such qualifications. See Exhibit No. NYSLOF-9.

Q: In your opinion, how do National Grid's contract procurement process, contractor evaluation process, and safety and health standards compare to other owners of construction projects?

A: In my opinion, National Grid has a very thorough contract procurement process, and contractor evaluation system. The criteria used to evaluate contractor performance is very detailed and comprehensive when compared to other owners of construction projects in New York State. The feedback from LIUNA members on National Grid projects is also very positive. These workers feel supported to raise any health and safety concern that may arise on the job. The only recommendation we have is that National Grid adopt terms and conditions in their construction contracts that are similar to terms utilized by Consolidated Edison ("ConEd") to encourage higher labor standards with the goals of reducing construction labor risks, ensuring National Grid has the qualified labor resources required to meet the increase in pipe replacement activities, and improving workplace—and customer—safety.

Q: What is the recommendation that you would encourage the Commission to impose on National Grid?

A: ConEd's "Standard Terms and Conditions for Construction Contracts" includes a provision on Labor which states that only union labor from building trades locals and affiliated with the Building and Construction Trades Council of Greater New York can be employed. I have attached a copy of ConEd's "Standard Terms and Conditions for Construction Contracts" to this testimony. See Exhibit No. NYSLOF-10.

Q: Why is NYSLOF recommending National Grid adopt this recommendation?

A: The use of union labor from construction trade locals affiliated with the Building and Construction Trades Council of Greater New York provide benefits to ratepayers. First, this condition ensures that only reputable and qualified labor resources are employed on National Grid projects. It is my understanding that certain labor employed by National Grid are affiliated

with individuals who have been found guilty of extortion. NYSLOF believes this creates undue labor risks, which may impact National Grid's ability to complete future work**.** Mitigating undue labor risks is especially critical given the increase in direct capital expenditures proposed by the Companies in this case. KEDNY's total direct capital expenditures are forecasted to grow by 27 percent in 2024 compared to the historic test year. KEDNY's total direct capital expenditures are forecasted to grow by 52 percent in 2024 compared to the historic test year. Furthermore, increased LPP targets in future years require that contractors have the highly trained and qualified labor sources available to perform the work. KEDNY has 1,458 miles of LPP remaining in its inventory. ConEd leads the nation in the ratio of repaired leaks to miles in part because its contractors only employ reputable union labor. See Exhibit No. NYSLOF-11.

The issue of New York State utilities' employment of contractors is not new to the Commission. In Case No. 13-M-0449, *Focused Operations Audit of the Internal Staffing Levels and the Use of Contractors for Selected Core Utility Functions at Major New York Energy Utilities*, the Operations Audit of Staffing Levels at the Major New York State Energy Utilities" ("Staffing Audit") published in February of 2017 confirmed the following: 1) Contractor employees are a critical component of utilities' labor mix, 2) The importance of contractor employees has grown as utilities accelerate pipe replacement activities, 3) Utilities need to plan for how they will meet the need to grow contractor resources in order to meet ambitious pipe replacement targets, and 4) Growing competition by utilities and other energy projects for skilled gas workers will strain this finite labor pool. By adopting this condition, the Commission can ensure that National Grid has the qualified and reputable labor resources it needs to meet pipe replacement targets.

Q: Please explain the importance of NESE to the construction industry, and expanded natural gas infrastructure.

A: The last topic I will touch upon briefly is the need for proper focus and attention on infrastructure. The experience of our Local affiliates across New York State is that constraints on natural gas and opposition to pipelines not only deny qualified construction laborers an opportunity to work, it challenges broader economic growth and expansion. In this rate case, residential ratepayers will experience a greater rate increase if NESE is not built compared to if the pipeline is constructed. Furthermore, a delay or denial of NESE will reduce KEDNY's contractor labor force by one to three crews, and reduce KEDLI's contractor workforce by approximately 13 crews due to the reduction in capital programs. See Exhibit No. NYSLOF-12.

NYSLOF recommends that the Commission approve the Companies' capital expenditures should NESE proceed.

Q: Does this conclude your testimony?

A: Yes.